affect this relative price-earnings ratio of one stock to another are solely matters of the current image in the investment community of the particular company and the particular industry to which that company belongs. However, the level of stocks as a whole is not solely a matter of image but results partly from the financial community's current appraisal of the degree of attractiveness of common stocks and partly from a certain purely financial factor from the real world.

This real-world factor is mainly involved with interest rates. When interest rates are high in either the long- or short-term money markets, and even more so when they are high in both, there is a tendency for a larger part of the pool of investment capital to flow toward those markets, so the demand for stocks is less. Stocks may be sold to transfer funds to these markets. Conversely, when rates are low, funds flow out of those markets and into stocks. Therefore, higher interest rates tend to lower the level of all stocks and lower interest rates to raise that level. Similarly, when the public is in a mood to save a larger percentage of its income, more funds flow into the total capital pool and there is a more bullish pull on stock prices than when the pool of capital funds is rising more slowly. However, this is a much smaller influence than is the level of interest rates. An even smaller influence is the degree of fluctuation in new stock issues, which are a drain on the capital pool available to the stock market. The reason the new-issue supply is not a bigger factor on the general level of stock prices is that when other influences cause stocks to be in favor, the new-issue volume rises to take advantage of this situation. When com-mon-stock prices reach low levels, supply of new issues tends to diminish drastically. As a result, fluctuations in new-issue volume are much more a result of other influences than an influencing factor themselves.

This fourth dimension to stock investing might be summarized in this way: The price of any particular stock at any particular moment is determined by the current financial-community appraisal of the particular company, of the industry it is in, and to some degree of the general level of stock prices. Determining whether at that moment the price of a stock is attractive, unattractive or somewhere in between depends for the most part on the degree these appraisals vary from reality. However, to the extent that the general level of stock prices affects the total picture, it also depends